

HOW IT WORKS: CREDIT CARDS AND INTEREST

This is the tale of two people, Adam and Mario, who used their credit cards in drastically different ways. Adam read this book and understands credit cards; Mario did not read this book, and he did not understand what he was getting himself into when he signed up for his credit card.

Mario and Adam both qualified for a card with a \$10,000 limit and a 12-month introductory APR of 0%. Although there is no APR for the first year, it jumps to 15.5% after that, and can go as high as 25.5% if payments are missed. Mario sees his \$10,000 limit as an increase in his bank account and goes wild. He spends recklessly and his balance begins to increase. After the first year, he owes \$6,000 on his credit card, but more importantly, he now owes interest on this debt as well.

For the first year, Mario was able to pay the minimum payment per month (2% of the amount owed)³⁰ and see his debt reduced by that amount. In other words, 100% of his payments went toward reducing his debt, because he did not have to pay interest for the first year. Let's examine Table 6.3 to see what effect his payments have now that interest has kicked in.

Table 6.3. Mario's credit card statement after interest kicks in

Amount owed	Minimum payment (2%)	Interest per month at 15.5%	Amount owed after payment
\$6,000	\$120	\$77.50	\$5,957.50

³⁰ The minimum payment is not always 2%, but it usually ranges between 1–2% of the amount owed.